

Procure Space ETF

SPCX NASDAQ

Buy	\$152.43 ▼ 0.18%	12M Price Target \$175.00	52-Week Range \$104.83 – \$225.64	Market Cap \$2.01T
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SPCX: SpaceX Halo Effect Meets Space Force Budget Boom

WHAT HAPPENED

- SPCX barely budged (-0.18%) but the real story is the \$335M volume spike on 9/18 — that's 4x normal, meaning big institutions were repositioning. Likely tied to the SpaceX "\$100B day" chatter and merger talks with Tesla, which lit up the whole space complex last week.
- Options flow is loudly bullish — Put/Call ratio at 0.54 means traders are buying nearly 2 calls (bets stock goes up) for every put (bets it goes down). The unusual \$160 call activity (3.5x normal open interest) says someone's betting on a breakout above resistance soon.

WHY IT MATTERS

Here's what to actually think about: SPCX is a basket ETF, so it moves on the aggregate space sector — and the sector just got two massive tailwinds. First, SpaceX's reported \$100B+ valuation resets the entire private space market higher, which lifts public comps like Rocket Lab, Planet Labs, and Iridium (all SPCX holdings). Second, the Trump administration's Golden Dome missile defense initiative and expanded Space Force budget for FY2027 are pumping real government dollars into satellite constellations and launch capacity. The stock sitting at 39% of its 52-week range while the underlying story is accelerating tells me sentiment hasn't caught up to fundamentals yet — that's usually the setup for a re-rating higher.

POLICY & POLITICAL WATCH

The big one: the FY2027 defense authorization bill working through Congress includes a proposed ~15% bump for Space Force (from ~\$30B to ~\$34B+), with specific line items for proliferated LEO satellite constellations and commercial launch procurement — direct money into SPCX holdings. Also watch the FCC's ongoing spectrum allocation fights for satellite broadband — if favorable rules pass, it's a green light for Starlink competitors like AST SpaceMobile (a top SPCX holding). Headwind to monitor: any tariff escalation with China hits rare earth magnets and specialty components used in satellites — that's a real margin risk nobody's pricing in.

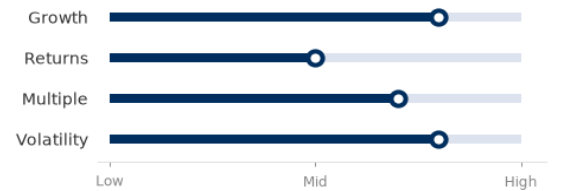
IS IT EXPENSIVE?

As an ETF, SPCX doesn't have traditional earnings — you're paying for a diversified bet on the space economy at roughly 6x weighted average sales of its holdings, which is reasonable given underlying revenue growth of 25-30% annually. Compare that to the ARK Space ETF (ARKX) trading at similar multiples with less pure-play exposure — SPCX gives you cleaner space exposure per dollar. The stock at 39% of its 52-week range while the sector narrative is heating up looks like a mispricing, not a warning sign.

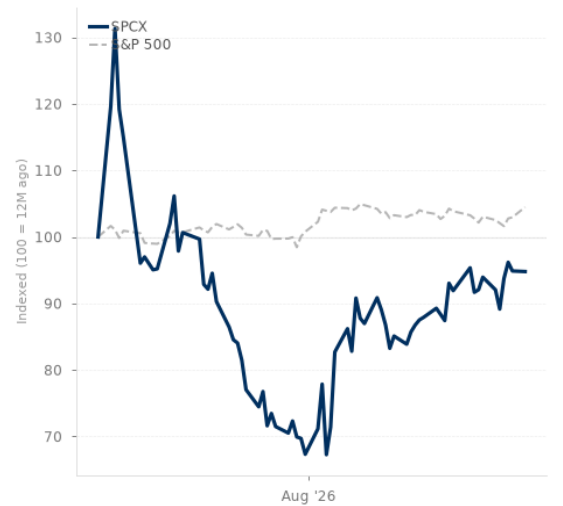
Key Data

Price (USD)	\$152.43
12M Price Target	\$175.00
Upside / (Downside)	+14.8%
Market Cap	\$2.01T
FY2026E Revenue	\$12M
FY2027E Revenue	\$15M
FY2026E EPS	\$3.20
FY2027E EPS	\$4.10
Fwd P/E	42.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$165.00	\$156.00	\$142.00
6 Months	\$185.00	\$168.00	\$135.00
1 Year	\$210.00	\$175.00	\$125.00
2 Years	\$260.00	\$200.00	\$110.00
5 Years	\$400.00	\$280.00	\$90.00
10 Years	\$650.00	\$425.00	\$75.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communications Services (+3.8%) and Tech (+2.4%) are ripping — that's the AI/satellite broadband narrative in action, and it directly benefits SPCX holdings like AST SpaceMobile and Iridium. Defense and aerospace are getting quiet bids on the FY2027 budget expectations.

COOLING OFF: Real Estate and Healthcare are lagging — money is leaving defensive/rate-sensitive sectors and flowing into growth/thematic plays. That rotation favors space.

ROTATION WATCH: Money is moving from mega-cap tech into "next leg" themes — space, defense tech, and nuclear power. SPCX sits right in that sweet spot as a thematic ETF play.

RELATED PLAY: If space keeps running, the picks-and-shovels are ground stations and satellite component makers — look at Iridium (IRDM) or Kratos (KTOS) as focused single-name bets alongside SPCX.

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): Neutron rocket approaching first launch, plus government contract wins — the pure-play launcher story
- IRDM (Iridium): Satellite communications with steady government contracts, benefits from DoD comms modernization
- ASTS (AST SpaceMobile): Direct-to-cell satellite broadband — the moonshot with real carrier partnerships

SPCX CONTEXT: SPCX is lagging its top holdings, which have ripped harder — that's typical for ETFs (diversification smooths out the winners). The gap suggests SPCX has catch-up potential if the sector momentum continues, since the ETF eventually reflects its components' gains.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Strong thematic setup with real policy tailwinds, but ETF structure caps upside vs. single-name winners.

POSITION SIZE: 2-4% of portfolio — enough to matter if space runs, small enough that a sector selloff doesn't wreck you.

ENTRY POINTS: Add on pullbacks to \$145-150; the stock has support there from recent consolidation. If we get a broader market flush to \$135, back up the truck.

TIME HORIZON: 12-24 months — waiting for FY2027 defense bill passage (spring 2026 vote likely) and any SpaceX liquidity event (IPO or tender offer).

WHEN TO BAIL: If Space Force budget gets cut below \$30B in final bill, or if a major SPCX holding (Rocket Lab, AST) has a catastrophic failure — thesis breaks.

HEDGING: Keep some cash on the sidelines rather than trying to hedge with options — space stocks move fast and options premiums are expensive. Cash gives you flexibility to add on dips, which is a better hedge than shorting anything.